

clinical outcomes. “Areas such as organised transplantation, oncology, bone marrow transplantation, robotic surgery, neuroscience and precision medicine are increasingly driving patient decisions.”

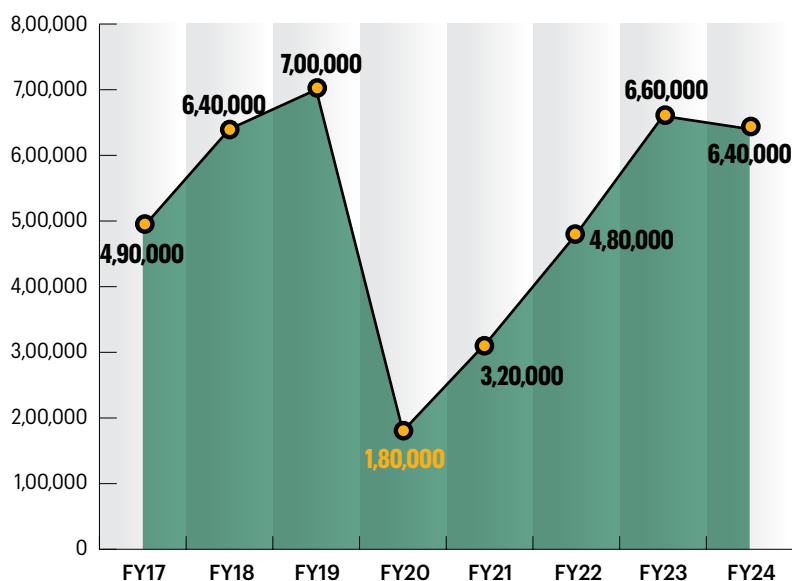
An Apollo Hospitals spokesperson says the pandemic accelerated teleconsultations, digital second opinions, and virtual follow-ups. “An international patient’s journey can now begin before travel and continue after returning home.”

Indian hospitals typically charge international patients more than domestic ones, even though the cost of treatment remains far lower than what they would pay in their home countries. Since much of the infrastructure and overheads are shared with the domestic business, treating overseas patients is generally more profitable. Hospitals do not disclose these numbers separately, but industry executives say operating margins are 24-25% for the domestic business and about 30% for international patients. The gains are partly offset by higher marketing and patient acquisition costs.

Karthik Rajagopal, Group Chief Operating Officer, Manipal Health Enterprises (owners of Manipal Hospitals), says medical tourism is now going through a digital transformation, where patients research online and attend virtual consultations before travelling. “The conversation has shifted from ‘India is

THE PATIENT INFLOW

● India is treating lakhs of foreigners as the conversation shifts from ‘India is cheaper’ to ‘India delivers exceptional value’



SOURCE CRISIL INTELLIGENCE REPORT

cheaper’ to ‘India delivers exceptional value’,” he adds.

MAKING THE MONEY

Patient flows can broadly be divided into two segments, those from developing markets and those from developed economies. The first comprises markets such as Bangladesh,

Iraq, Somalia and the Central Asian republics, where access to advanced tertiary care remains limited, and many specialised treatments are not available. “Proximity and affordability are important, as travel costs form a significant share of the overall treatment expenses,” says Anuj Sethi, Senior Director, Crisil Ratings.

THE CARE CAPITAL

➤ As private hospital networks continue to proliferate and gain more access to funding, confidence levels have taken off

➤ The 2010s saw Indian hospitals focusing on infrastructure building. They invested in advanced technology, internationally trained clinicians, quality accreditations